

Combining assets with similar volatility into a portfolio results in a total allocation with more in low-volatility assets (like bonds) and less to high-volatility assets (like stocks).

Many other firms now offer risk parity strategies, and you can track a [risk parity index](#) from Salient Partners. There are a handful of risk parity mutual funds from firms such as AQR, Putnam, and Invesco, although most are very expensive. A risk parity ETF was filed by Global X but never launched. The theory is well accepted and adopted by a large cadre of the investment community, but the key question is – “has this strategy simply ridden the wave of a secular trend downward in interest rates?” Only time will tell.

Below we examine two variations of risk parity. The first is a risk parity portfolio we proposed back in 2012 while giving a speech in New York City that reflects a broad risk parity style of investing (Figure 25).

FIGURE 25 - Risk Parity Portfolio

US Large Cap	Stocks	8%
US Small Cap	Stocks	
Foreign Developed	Stocks	8%
Foreign Emerging	Stocks	
Corporate Bonds	Stocks/Bonds	35%
T-Bills	Bonds	
10 Year Bonds	Bonds	35%
30 Year Bonds	Bonds	
10 Year Foreign Bonds	Bonds	
TIPS	Real Assets	
Commodities	Real Assets	5%
Gold	Real Assets	5%
REITs	Real Assets	5%

Source: [Faber PPT](#), 2012

Why try to divine the actual risk parity allocation when we can just go straight to the source and let Mr. Dalio construct it for us? The second allocation is the “All Seasons” portfolio Dalio himself suggested in the recent Tony Robbins book [Master the Money Game](#) (Figure 26).